

closing price and then plotting two lines parallel to the regression line, each two standard deviations away.

The figure shows the upper line of the channel. I did not draw the lower line, but it intersects point A and is parallel to the top channel line. The trend channel suggests price would move from one side of the channel to the other.

Since the upward breakout was on weak volume, I decided to hold off and wait for a throwback. This was a risky maneuver, but it worked. On December 1, I bought the stock and received a fill at 9.13.

The apex of a symmetrical triangle is often a place of support or resistance. You can see this on the chart. Price declined to the apex and stayed there for 3 days. As predicted, the stock took off and climbed after that. Even though the stock fulfilled the measure rule, I suspected that it would continue crossing to the upper channel line. The stock stalled out midway across the channel, pausing at the linear regression line (not shown, but it is equidistant between the top channel line and point A). This pause is often the case, and I was anticipating it.

In about a week, price started moving up again and quickly made a new high. When price touched the top of the trend channel, I considered selling but did not for tax reasons. I decided to hold off until the New Year—just 2 trading days away. On January 2 I sold the stock and received a fill at 11.63. The delay in selling dropped my return from nearly 40% to 27%. Still, that is not a bad return for a hold time of 1 month!